



D&G'S MARKETING MISSTEPS IN CHINA

Teaching Note

Synopsis

On 18 November 2018, Dolce & Gabbana S.R.L. (D&G) released three short videos on Instagram, Facebook, and Twitter as well as Sina Weibo in China to promote its first-ever fashion show in mainland China. The campaign was specifically designed to drum up excitement about an important catwalk event to be held at the Expo Center of Shanghai on 21 November 2018. However, the videos did not create the intended positive effect. In fact, the incongruous or extreme presentations in the videos jeopardized the entire promotion campaign. From the Chinese audience's perspective, the D&G videos were not entertaining but inappropriate, offensive, and racist. The result enraged the Chinese audience and fueled a heated online debate. Within 24 hours, under public pressure, D&G was forced to remove the videos from its Weibo promotion channel. While many Chinese media users were demanding a formal apology from D&G for the videos, the company allowed the debate to simmer and boil for the next few days. The brand crisis was further exacerbated by derogatory comments alleged to have been made by the cofounder, Stefano Gabbana, on Instagram. The failure of D&G to take swift action to quell the controversy triggered by the videos had resulted in cancellation of the Shanghai catwalk event and a public relations disaster.

Conceptual Foundation and Teaching Objectives

This case could be used to lead class discussions in advertising, cultural sensitivity, crisis management, and communication as well as international marketing/advertising. The teaching objectives of the case are to:

- Discuss the difficulties of using humor in advertising and how social and cultural values play an important role in influencing consumers' responses to such strategy.

Mary Ho prepared this teaching note with the assistance of Professor Kineta Hung as a guideline to teaching: "D&G's Marketing Missteps in China".

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- Discuss the potential advantages and risks of using humorous appeals in advertising campaigns.
- Understand the concept of crisis management and communication and the damages caused by ineffective handling of crisis communication.
- Identify barriers to effective crisis management and learning and examine how learning from crisis can be maximized.
- Illustrate the significant effect of social media in escalating a crisis situation.
- Understand the power of social media and explore ways to integrate social media channels into the crisis management and communication process.
- Demonstrate the value of crisis communication timing for reputations.
- Understand how to repair reputational damage and rebuild long-term corporate image after a crisis.
- Discuss ways to prevent the recurrence of similar crisis.

Suggested Student Assignment Questions

1. Why are D&G's advertising videos considered controversial and offensive? What are the intended humorous points in the videos? Why do most Chinese and general consumers receive them negatively? Could the advertisement be made in a better and more effective way?
2. D&G tried to use humor in its advertising videos, but the outcome is disastrous. How does humor relate to D&G's brand image? What are the potential advantages for D&G to use humorous appeals in advertising campaigns? What are the risks involved? How can you turn them around to achieve the intended humorous effects?
3. Comment on the effectiveness of D&G's crisis communication strategy. Could it be done in a better way? How could D&G prevent recurrence of a similar crisis in China and other markets?
4. Discuss possible ways for D&G to repair reputational damage and rebuild its long-term corporate image in China.

Analysis

- 1. Why are D&G's advertising videos considered controversial and offensive? What are the intended humorous points in the videos? Why do most Chinese and general consumers receive them negatively? Could the advertisement be made in a better and more effective way?**

Since many advertisements are vying for viewers' attention, some fashion brands like D&G make a bold move and use controversial advertisements to set their advertisements apart from others. Controversial marketing is defined as advertising that has the potential to elicit negative emotions such as embarrassment, disgust, offense, or outrage from the audience due to the

product nature or its style of execution (Wilson and West, 1981).¹ Some believe that controversial marketing strategies are particularly effective in communicating with a young, educated target audience based on the assumption that such people tend to be more open-minded and ready to challenge social norms.² There are three major characteristics of advertisements, which have implications for their level of offensiveness. These are known as the three Ms: matter, media, and manner (Prendergast and Ho, 2006).³ Matter refers to the product that is being advertised. Media refers to the medium used to propagate the advertisement. In general, the more public the medium is, the less tolerance there is for offensive advertising. For instance, advertisers may use cable TV and magazines to test their advertisements for offensiveness because they are relatively safe channels as compared with more public media. Manner refers to the way the advertisement conveys information. This is the most important characteristic of advertisements, since people are more likely to be more offended by how advertisements are made than the products for which they are made.

Advertisements that use fear, sex, and silliness can irritate the public (Greyser, 1972).⁴ Li (2009) argued that social and cultural values play an important role in influencing consumers' responses toward potentially offensive advertising. Li (2006) suggested that consumers from high-context and collective cultures are more critical of sex-related products and advertising appeals, as well as advertisements that may have a negative social impact, while consumers from low-context and individualistic cultures are less critical.⁵ Viewers of advertisements would sometimes refer to their cultural identities in condemning or defending advertisements. They would then make judgments on the offensiveness of advertisements based on cultural beliefs.⁶

Analysis of D&G's advertising videos:

- D&G's advertising videos were considered not only controversial but also *offensive* because of the *manner* in which they were presented. Prendergast and Ho (2006) found that the use of offensive advertising has a negative impact on consumers' intentions to purchase. Respondents reported that when there were alternative products with similar consumer benefits available in the market, they would not buy from the brand that adopted an advertisement that they found offensive.⁷ In this regard, the perceived offensiveness created by D&G's ads could have a significant impact on Chinese consumers' intentions to reject its products and the brand.
- Culture provides a schema for an audience to understand and interpret advertising (Hung, Li, and Belk, 2007). D&G failed to note Chinese *cultural taboos* and demonstrated that the brand lacked cultural sensitivity. For instance, it was culturally unacceptable to make fun with the use of chopsticks. The advertisement degraded traditional Chinese cutlery and presented a distorted or outdated view of Chinese table manners and the English language capability of Chinese citizens (e.g., consistent mispronunciation of "Dolce" in the videos). Many Chinese consumers felt insulted by such a presentation.

¹ A. Wilson and C. West, "The marketing of 'unmentionables,'" *Harvard Business Review*, January-February 1981, pp. 91–102.

² K. Chan, *Social Issues of Advertising* (Hong Kong: City University of Hong Kong Press, 2017), p. 69.

³ G. Prendergast and B. Ho, "Offensive advertising," in K. Chan, ed., *Advertising and Hong Kong Society* (Hong Kong: The Chinese University Press, 2006), pp. 95–113; K. Hung, S. Y. Li, and R. W. Belk, "Glocal understandings: female readers' perceptions of the new woman in Chinese advertising," *Journal of International Business Studies* 38 (2007): 1038–1051.

⁴ S. A. Greyser, "Advertising-attacks and counters," *Harvard Business Review*, March 1972, pp. 22–28.

⁵ M. Li, "Consumers' response to offensive marketing in China," in H. Cheng and K. Chan, eds., *Advertising and Chinese Society: Impacts and Issues* (Denmark: Copenhagen Business School Press, 2006), pp. 175–190.

⁶ K. Chan, *Social Issues of Advertising*, p. 74.

⁷ *Ibid.*, p. 72.

- The use of *sexual connotations* in the videos is generally unacceptable in China. Ads with sexual connotations are defined as ads that “involve the use of content which is interpreted as sexual at a subconscious level, including the use of nonsexual perceptible objects that can connote sexual body parts and sexual actions” (Liu, 2013, p. 226).⁸ In many Asian or Muslim-dominated cultures, sex is seen as a highly private matter. Unlike many Western cultures that have more liberal views of sex, the Chinese culture is more conservative.
- The portrayal of awkward table manners involves the use of *silliness*. While the original intention was to make the video more humorous, it irritated and upset the Chinese audience. The Chinese audience was also unhappy with the *poor taste* of the visual setting, the tone, and the language used in the video.
- Endorsing the ideas presented in the D&G videos would be contradictory to the Chinese audience's national *identity* in upholding Chinese cultural values.
- Non-Chinese audience members also expressed concerns about the ads containing offensive elements because of the *third-person effect*; they may find it offensive because they believe it would offend others (e.g., Chinese and women).
- D&G also failed to *link the ideas/eccentricities* to its advertised Shanghai show, which opened it up to criticism for inappropriateness.

D&G should understand that advertising creativity is linked to efficacy in achieving a communication goal. Ad creativity should be both divergent and relevant. Divergence means that the ad must contain elements that are novel, different, or unusual in some way, and relevance means the ad must be meaningful, appropriate, or valuable to the audience.⁹ When adapting to local culture, copywriters of advertisements must produce effective promotional messages that are intelligible to the audience.¹⁰ Social norms need to be met, and taboos should be avoided.¹¹ The brand management team and the advertising agency must work together to maintain consistency in brand image.¹²

2. D&G tried to use humor in its advertising videos, but the outcome is disastrous. How does humor relate to D&G's brand image? What are the potential advantages for D&G to use humorous appeals in advertising campaigns? What are the risks involved? How can you turn them around to achieve the intended humorous effects?

The use of humor in advertising campaigns generally entails various potential advantages¹³:

- Create the highest retention levels of all advertising messages.
- Attract and hold consumers' attention (because consumers want to hear the joke).
- Generate positive mood for consumers (as a result, positive linkage between the consumers' mood and the product is created).
- Distract the consumer from critical thinking about (or internally arguing against) the advertisement.

⁸ Y. Y. T. Liu, “Tread along the line between edgy and offensive: A study of Chinese students' response toward offensive advertising,” Unpublished master's dissertation, HKBU Institutional Repository, Hong Kong Baptist University, Hong Kong, 2013.

⁹ K. Chan, *Social Issues of Advertising*, p. 39.

¹⁰ Ibid., p. 42.

¹¹ Ibid., p. 46.

¹² Ibid., p. 47.

¹³ M. Dahlen, F. Lange, and T. Smith, *Marketing Communications—A Brand Narrative Approach* (London: John Wiley & Sons Ltd., 2010), p. 342.

However, whether something is humorous or not can be very subjective. In this regard, using humor in advertising campaigns involves various risks¹⁴:

- It is very difficult to be funny.
- The audience may not comprehend the joke, so (knowing that the advertisement was intended to be funny) they will feel threatened, insulted, and deprived of an experience to which they were looking forward.
- Humor does not help to enhance source credibility.
- Humor may not be appropriate for some products.
- The appeal of humorous messages often wears out more quickly than serious advertisements.

According to Tom and Catanescu (2001), all types of humor (comparison, personification, exaggeration, pun, sarcasm, silliness, and surprise) are open to interpretation by the individual.¹⁵ D&G's advertising videos were not considered funny at all, and the Chinese audience did not get the joke. The misuse of humor by D&G in the advertising videos resulted in presentation of the wrong brand image (e.g., lack of cultural sensitivity and misunderstanding of China and the Chinese people) and alienated existing and potential consumers.

D&G could have turned the concept around and shown a Caucasian man attempting to drink Chinese soup with a knife. It could have been better for D&G to poke fun at its own Western/Italian culture instead of the Chinese culture. In fact, after the D&G crisis, such a parody video was widely circulated on Chinese Weibo and other Western social medias like YouTube.

3. Comment on the effectiveness of D&G's crisis communication strategy. Could it be done in a better way? How could D&G prevent recurrence of similar crisis in China and other markets?

According to Sohn and Lariscy (2014), crises can be categorized into operational crises and reputational crises.¹⁶ D&G's crisis is a reputational one.

It is important for D&G to manage crisis communication properly. The following are possible negative implications for failure to manage crisis communication:

- As Dilenschneider (2000) stated in *The Corporate Communications Bible*, all crises threaten to tarnish an organization's reputation.¹⁷ A crisis inflicts harm on the organization's reputation because of the negative information it generates about the organization (Barton, 2001).¹⁸
- In the luxury sector, a brand's elevated value lies primarily in its reputation. If a brand tarnishes that reputation, it could face the risk of losing its "luxe."¹⁹
- Loss of revenue and market share due to boycotts (by local/global consumers, retail distributors, and celebrities).
- Misspent product development and advertising costs.

¹⁴ Ibid., p. 343.

¹⁵ G. Tom and C. Catanescu, "Types of Humour in Advertising," *Review of Business* 22, no. 2 (2001): 92–95.

¹⁶ Y. J. Sohn and R. W. Lariscy, "Understanding Reputational Crisis: Definition, Properties, and Consequences," *Journal of Public Relations Research* 26, no. 1 (2014): 23–43.

¹⁷ R. L. Dilenschneider, *The corporate communications bible: Everything you need to know to become a public relations expert* (Beverly Hills, CA: New Millennium, 2000).

¹⁸ L. Barton, *Crisis in organizations II* (2nd ed.) (Cincinnati, OH: College Divisions South-Western, 2001).

¹⁹ P. Danziger, "Luxury Brands Need More Than Diversity To Prevent More Culturally Insensitive Mistakes," *Forbes*, 3 March 2019, <https://www.forbes.com/sites/pamdanziger/2019/03/03/dolce-and-gabbana-gucci-burberry-caught-being-culturally-insensitive-diversity-isnt-the-fix/#68b849fb125d>, accessed 27 July 2019.

- Loss of trust and loyalty of consumers.
- Damaged relationship with the government or even escalation to a diplomatic issue.
- Decline in stock value (particularly if the stock is publicly listed).
- Spawning of lawsuits initiated by affected stakeholders or the public.

Crisis management is necessary for the protection of an organization and its stakeholders from threats and/or for the reduction of the impact felt by threats. Crisis management can be divided into three phases²⁰:

- (1) Pre-crisis—This phase is concerned with prevention and preparation.
- (2) Crisis response—This phase is when management must respond to a crisis.
- (3) Post-crisis—During this phase, the company looks for ways to better prepare for the next crisis and fulfills commitments made during the crisis phase, including follow-up information.

Social media crises and how social media affects the crisis communication and management process

The D&G scandal in China could also be described as a social media crisis. The term “social media crisis” has been used to describe crises that emerged in or were amplified by social media.²¹ Social media represent a variety of internet channels that allow stakeholders to create content (Coombs & Holladay, 2012).²²

Social media have affected crisis communication and management process because:

- They have created the need to modify crisis communication in the sense that they add new sources that must be part of the crisis scanning process.²³
- They have necessitated the inclusion of social media managers on the crisis management team (Coombs, 2015²⁴).
- Managers are under pressure to react even more quickly. However, managers must be deliberate and make informed decisions because they have responsibilities to a variety of stakeholders. Speed is enhanced by crisis preparation. Crisis preparation allows crisis managers to be both fast and deliberate.²⁵
- “The customer is always right” is a motto or slogan popularized by pioneering American entrepreneur Marshall Field. This saying is even more relevant today in the digital era. With the power of social media, even “wrong” customers have the ability to transform a single complaint into a movement against a company.²⁶

²⁰ T. Coombs, “Crisis Management and Communications (Updated September 2014),” Institute for Public Relations, <https://instituteforpr.org/crisis-management-communications/>, accessed 27 July 2019.

²¹ Ibid.

²² W. T. Coombs and S. J. Holladay, “Amazon. com’s Orwellian nightmare: exploring apology in an online environment,” *Journal of Communication Management* 16, no. 3 (2012): 280–295.

²³ T. Coombs, “Crisis Management and Communications.”

²⁴ W. T. Coombs, *Ongoing Crisis Communication: Planning, Managing, and Responding*, 4th ed. (Los Angeles: Sage, 2015).

²⁵ T. Coombs, “Crisis Management and Communications.”

²⁶ K. Quesenberry, *Social Media Strategy – Marketing, Advertising and Public Relations in the Consumer Revolution* (UK: Rowman & Littlefield, 2019), p. 242.

Weaknesses of D&G's crisis communication and management process

Missteps in initial crisis response

D&G failed to deliver an effective initial crisis response. D&G only removed the videos from a selected social media channel (Weibo) without quickly giving a statement to the public or presenting the company's perspective. The initial crisis response should have been fast, accurate, and consistent.

1. The need for speed and the concept of stealing thunder

Quick means a response in the first hour after the crisis occurs. That puts a great deal of pressure on crisis managers to have a message ready in a short time. Therefore, the preparation and availability of templates is important. The rationale for speed is the need for the organization to tell its side of the story. Social media have increased the pressure on organizations to deliver speedy responses. Although an early response may not contain much new information about the crisis, it would nevertheless help to position the company as a source so that it can start to present its side of the story. Pre-drafted messages could facilitate a speedy response. Meeting public expectation is important in crisis communications. With the advent of the internet, people look for information immediately and continually.²⁷ Hearit's (1994) research illustrates how silence is too passive. It lets others control the story and suggests that the organization has yet to gain control of the situation.²⁸

Stealing thunder is a matter of timing involving the disclosure of information about a crisis.²⁹ In law, attorneys steal thunder by identifying a flaw in their own case before their opposition states the weakness (Williams, Bourgeois, and Croyle, 1993).³⁰ Research shows that a crisis creates less reputational damage if the organization is the first to report the crisis. The same exact crisis does less damage when the organization first reports it than when the news media or another source are the first to report the crisis (Arpan & Pompper, 2003³¹; Claeys & Cauberghe, 2012³²). Stealing thunder demonstrates the value of crisis communication timing for reputations. If the organization stole thunder, the type of crisis response would have no effect on reputation. Before the company's scandal appeared on the news, D&G could have addressed the problems of the videos quickly after receiving the negative comments and respond sincerely about how the company cared about the Chinese cultural values. The initial withdrawal of the videos on a single platform (Weibo) was not accompanied by a timely and proper apology and full withdrawal of the videos from all global platforms. The company's statement seemed to miss the key message and the focus of the problems.

2. Accuracy and consistency of information

D&G failed to give accurate details about the misunderstanding or misconceptions associated with the controversial videos. The public demanded accurate information about what has

²⁷ T. Coombs, "Crisis Management and Communications."

²⁸ K. M. Hearit, "Apologies and public relations crises at Chrysler, Toshiba, and Volvo," *Public Relations Review* 20, no. 2 (1994): 113–125, http://www.sciencedirect.com/science?_ob=ArticleURL&_udi=B6W5W-45P4P2T-C4&_user=2139813&_coverDate=04%2F01%2F1994&_rdoc=1&_fmt=&_orig=search&_sort=d&view=c&_acct=C000054276&_version=1&_urlVersion=0&_userid=2139813&md5=b411cc64a0486a105d910dec3f36f13e.

²⁹ T. Coombs, "Crisis Management and Communications."

³⁰ K. D. Williams, M. J. Bourgeois, and R. T. Croyle, "The effects of stealing thunder in criminal and civil trials," *Law and Human Behavior* 17, no. 6 (1993): 597, <http://www.jstor.org/stable/1393964?seq=2>.

³¹ L. M. Arpan and D. R. Roskos-Ewoldsen, "Stealing thunder: An analysis of the effects of proactive disclosure of crisis information," *Public Relations Review* 31, no. 3 (2005): 425–433.

³² A. S. Claeys and V. Cauberghe, "Crisis response and crisis timing strategies, two sides of the same coin," *Public Relations Review* 38, no. 1 (2012): 83–88.

happened and how that event might affect them. Inaccuracies make an organization look inconsistent and incompetent.

Coombs (2015) emphasizes that the public relations department plays a support role rather than being “the” crisis spokespersons.³³ The sharing of information by the crisis management team is important so that different people can deliver a consistent message. The spokespersons should be briefed on the same information and the key points the organization is trying to convey in the messages. Potential spokespersons should ideally be trained, and media relations skills should be practiced before any crisis. Delivering key, correct information is imperative. If the information is wrong, a speedy response is meaningless.³⁴

3. Expression of concern, regret, sympathy, or care

D&G did not give timely responses to demonstrate concern, regret, sympathy, or care for the Chinese audience, who felt insulted or offended. Crisis managers should express concern, regret, sympathy, or care for any victims of a crisis. These people are hurt or inconvenienced in some way by the crisis. Expressions of regret and concern could help to mitigate reputational damage and to lessen financial losses.³⁵

Ineffective internal crisis communication and possible absence of a proper pre-crisis plan

D&G's China-based team failed to react quickly to address the problem of the videos and apologize immediately in the local market. This shows the ineffectiveness of internal crisis communication between the China office and its headquarters in Italy. It appeared that the D&G China team played a passive role in the crisis communication process or failed to report the incident to headquarters in a timely manner. This might be due to evasion of responsibility (promotional videos were designed by central headquarters), and/or a general underestimation of the magnitude of the crisis. Internal crisis communication is important because employees can become ambassadors during a crisis (Frandsen & Johansen, 2011).³⁶ Employees should not be viewed as passive receivers but rather active participants who take their own communicative initiatives trying to make sense of crisis situations; and who to a certain extent can be mobilised communicatively by the organisation in crisis” (Johansen et al., 2012).³⁷

D&G headquarters also failed to develop effective communication with the local team with respect to possible corrective actions and accommodative actions.

Ineffectiveness of founders as spokespeople and lack of local spokesperson

It appeared that D&G did not handle the communication with the news media properly because:

- There was no local spokesperson to talk to the news media. The public criticized the lack of response and prolonged silence. D&G could have arranged a press conference in mainland China to clarify and explain the other side of the story in a Q&A session.

³³ W. T. Coombs, *Ongoing Crisis Communication: Planning, Managing, and Responding*.

³⁴ T. Coombs, “Crisis Management and Communications.”

³⁵ Ibid.

³⁶ F. Frandsen and W. Johansen, “The study of internal crisis communication: towards an integrative framework,” *Corporate Communications: An International Journal* 16, no. 4 (2011): 347–361.

³⁷ W. Johansen, H. K. Aggerholm, and F. Frandsen, “Entering new territory: A study of internal crisis management and crisis communication in organizations,” *Public Relations Review* 38, no. 2 (2012): 270–279.

- Local consumers were critical of the founders' delivery of the apology, which seemed to lack sincerity and was only made under public pressure.

Ineffective use of media channels for delivery and inconsistency

D&G did not remove the controversial videos from all social media channels. It only removed them from the Chinese local social media channel Weibo. Also, it initially posted the apology statement only in China. D&G might have assumed that the crisis was very small and confined to China. Overseas stakeholders were unlikely to hear about it from another source. Also, it might not have wanted to publicize the crisis by placing crisis information on other online channels. However, in today's traditional and online media environment, that assumption is misguided if not dangerous. The crisis messaging appears inconsistent if the crisis is only discussed in selected internet channels.³⁸

Media relations allow crisis managers to reach a wide range of stakeholders fast. Speed and reach are more important at the initial stage of the crisis. However, the news media are not the only channel crisis managers can and should use to reach stakeholders. Websites, social media, intranet sites, enterprise social network, and mass notification systems can add to the news media coverage. In particular, fan sites dedicated to the D&G brand provide the venue for a quick response (Jia, Hung, and Zhang, 2018). Crisis managers can supply greater amounts of their own information on a website. Mass notification systems deliver short messages to specific individuals through a mix of phone, text messaging, voice messages, and email. The systems also allow people to respond.³⁹

Bill Benoit (1995; 1997)⁴⁰ and Coombs (2007)⁴² suggested various reputation-repair strategies. **Table 1** presents the master list of such strategies⁴³:

³⁸ T. Coombs, "Crisis Management and Communications"; X. Jia, K. Hung, and K. Zhang, "Diversity of Fans on Social Media: The Case of Entertainment Celebrity in China," in Cheng Lu Wang, ed., *Exploring the Rise of Fandom in Contemporary Consumer Culture* (IGI Global, 2018), pp.163–184.

³⁹ Ibid.

⁴⁰ W. L. Benoit, *Accounts, excuses, and apologies: A theory of image restoration* (Albany: State University of New York Press, 1995).

⁴¹ W. L. Benoit, "Image repair discourse and crisis communication," *Public Relations Review* 23, no. 2 (1997): 177–180.

⁴² W. T. Coombs, "Protecting organization reputations during a crisis: The development and application of situational crisis communication theory," *Corporate Reputation Review* 10 (2007): 1–14.

⁴³ T. Coombs, "Crisis Management and Communications."

Table 1: Master List of Reputation-Repair Strategies

1. Attack the accuser: the crisis manager confronts the person or group claiming something is wrong with the organization.
2. Denial: the crisis manager asserts that there is no crisis.
3. Scapegoat: the crisis manager blames some person or group outside the organization for the crisis.
4. Excuse: the crisis manager minimizes organizational responsibility by denying intent to do harm and/or claiming inability to control the events that triggered the crisis.
Provocation: the crisis was a result of a response to someone else's actions.
Defeasibility: there is a lack of information about events leading to the crisis situation.
Accidental: there is a lack of control over events leading to the crisis situation.
Good intentions: the organization meant to do well
5. Justification: the crisis manager minimizes the perceived damage caused by the crisis.
6. Reminder: crisis managers tell stakeholders about the past good works of the organization.
7. Ingratiation: the crisis manager praises stakeholders for their actions.
8. Compensation: the crisis manager offers money or other gifts to victims.
9. Apology: the crisis manager indicates that the organization takes full responsibility for the crisis and asks stakeholders for forgiveness.

Reputation repair can be done in the crisis response phase, post-crisis phase, or both. When a strong reputation-repair effort is required, that effort will carry over into the post-crisis phase.⁴⁴

Attribution theory and its relationship to crisis management

According to attribution theory, people try to explain why events happen. Generally, people either attribute responsibility for the event to the situation or the person in the situation. Attributions generate emotions and affect the interaction of people with those involved in the event. People blame either the organization in crisis or the situation. If people blame the organization, people become angry and react negatively toward the organization.⁴⁵ In the D&G case, obviously the Chinese audience blamed the company and its cofounder(s).

Coombs (1995) pioneered the application of attribution theory to crisis management in the public relations literature. According to situation crisis communication theory (SCCT), crisis managers match their reputation-repair strategies to the reputational threat of the crisis situation.⁴⁶ Crisis managers follow a two-step process to assess the reputational threat of a crisis. The first step is to determine the basic crisis type. A crisis manager considers how the news media and other stakeholders are defining the crisis. Coombs and Holladay (2002)⁴⁷ suggested a list of the basic crisis types and their reputational threat [see **Table 2**⁴⁸].

⁴⁴ Ibid.

⁴⁵ T. Coombs, "Crisis Management and Communications."

⁴⁶ W. T. Coombs, "Choosing the right words: The development of guidelines for the selection of the 'appropriate' crisis response strategies," *Management Communication Quarterly* 8 (1995): 447–476.

⁴⁷ W. T. Coombs and S. J. Holladay, "Helping crisis managers protect reputational assets: Initial tests of the situational crisis communication theory," *Management Communication Quarterly* 16 (2002): 165–186.

⁴⁸ T. Coombs, "Crisis Management and Communications."

Table 2: Crisis Types by Attribution of Crisis Responsibility

- **Victim crises:** minimal crisis responsibility
- Natural disasters: acts of nature such as tornadoes or earthquakes.
- Rumors: false and damaging information being circulated about your organization.
- Workplace violence: attack by former or current employee on current employees on-site.
- Product tampering/malevolence: external agent causes damage to the organization.
- **Accident crises:** low crisis responsibility
- Challenges: stakeholders claim that the organization is operating in an inappropriate manner.
- Technical-error accidents: equipment or technology failure that causes an industrial accident.
- Technical-error product harm: equipment or technology failure that causes a product to be defective or potentially harmful.
- **Preventable crises:** strong crisis responsibility
- Human-error accidents: industrial accident caused by human error.
- Human-error product harm: product is defective or potentially harmful because of human error.
- Organizational misdeed: management actions that put stakeholders at risk and/or violate the law.

D&G's scandal is a preventable crisis; therefore it has strong crisis responsibility.

The next step involves the review of intensifying factors of crisis history and prior reputation. The reputational threat is intensified if an organization has a history of similar crises or has a negative prior reputation.⁴⁹ D&G has a previous history of offending Chinese consumers with its advertisements/product campaigns. Also, its cofounder Steffano Gabbana often made controversial and offensive remarks in public. Therefore, D&G has a history of similar crises or a negative prior reputation that could intensify the crisis caused by the videos. The company's excuses appeared to be unacceptable.

Table 3 shows a list of crisis communication best practices derived from attribution theory-based research in SCCT (Coombs, 2007⁵⁰; Coombs & Holladay, 1996⁵¹; Coombs and Holladay, 2001⁵²; Coombs and Holladay, 2006⁵³).

⁴⁹ Ibid.

⁵⁰ W. T. Coombs, "Protecting organization reputations during a crisis."

⁵¹ W. T. Coombs and S. J. Holladay, "Communication and attributions in a crisis: An experimental study of crisis communication," *Journal of Public Relations Research* 8, no. 4 (1996): 279–295.

⁵² W. T. Coombs and S. J. Holladay, "An extended examination of the crisis situation: A fusion of the relational management and symbolic approaches," *Journal of Public Relations Research* 13 (2001): 321–340.

⁵³ W. T. Coombs and S. J. Holladay, "Halo or reputational capital: Reputation and crisis management," *Journal of Communication Management* 10, no. 2 (2006): 123–137.

Table 3: Attribution Theory–based Crisis Communication Best Practices¹

1. All victims or potential victims should receive instructions, including recall information. This is one half of the base response to a crisis.
2. All victims should be given an expression of sympathy, any information about corrective actions, and trauma counseling when needed. This is called the “care response.” This is the second half of the base response to a crisis.
3. For crises with minimal attributions of crisis responsibility and no intensifying factors, instructions and a care response are sufficient.
4. For crises with minimal attributions of crisis responsibility and an intensifying factor, add excuse and/or justification strategies to the instructions and care response.
5. For crises with low attributions of crisis responsibility and no intensifying factors, add excuse and/or justification strategies to the instructions and care response.
6. For crises with low attributions of crisis responsibility and an intensifying factor, add compensation and/or apology strategies to the instructions and care response.
7. For crises with strong attributions of crisis responsibility, add compensation and/or apology strategies to the instructions and care response.
8. The compensation strategy is used whenever victims suffer serious harm.
9. The reminder and ingratiation strategies can be used to supplement any response.
10. Denial and an attack on the accuser strategies are best used only for rumor and challenge crises.

Because D&G's crisis has strong attributions of crisis responsibility, a strategy of giving compensation (e.g., promotional discounts, coupons, gifts, etc.) and/or apology strategies and care response are needed. Timely withdrawal of videos from all social media platforms and expression of care and regret are necessary.

How to handle future crises

The case of D&G shows how a negative comment on social media can turn into a public relations disaster. As social media crisis communication becomes an essential part of public relations practice, how can an organization handle a complaint or issue quickly before it gets out of control? To handle future crisis, D&G may consider the following:

- 1) Learn from the rules quoted by Stokes for handling social media crisis communication^{54,55}:
 - Be humble—Listen before acting. Get an understanding of the scale and scope of the problem and how consumer complaints evolved.
 - Act right away—Responding quickly by acknowledging a wrong and promising to correct it can wipe out a brand attack before it gets started.

⁵⁴ R. Stokes, *eMarketing: The Essential Guide to Online Marketing*, v.1.0 (Irvington, NY: Flatworld Knowledge, 2010).

⁵⁵ K. Quesenberry, *Social Media Strategy—Marketing, Advertising and Public Relations in the Consumer Revolution* (UK: Rowman & Littlefield, 2019), pp. 244–245.

- Keep negative pages out of search engines—Add positive content and links to drive negative links off the first page of search results.
- Respond via blogs and industry forums—This will help to present the organization's side of the story.
- Care about the customers/stakeholders—Show them the organization truly cares about their concerns. Treat them with kindness and support.

2) Encourage social media employees to think of the customer first and try to treat them the way they would want to be treated.⁵⁶

3) Integrate social media into every crisis scenario for the crisis communication plan.

According to Goldstein, there are various ways to do such integration⁵⁷:

- Avoid censoring criticism on social media channels, because removing a negative comment could most likely result in worse comments.
- Pay attention to the use of tone. Instead of using a corporate tone, social media responses should be personal, polite, and not dismissive.
- Be quick, understand the issue, and respond directly. Although a quick response is important, listening is equally important, and it takes time to really understand what consumer wants. Follow this with a direct and public response.
- Ensure that messages are customized and consistent. Social media platforms have unique tones, so messages need to be customized to fit the environment of each channel. Consistency is important, but the official statement provided on the website should not simply be duplicated repeatedly on all channels. A regular update of channels is required, 24/7 if needed. During a crisis, customers tend to turn to all channels for current information and expect a timely response on social media.
- Be proactive to professionally present the brand's side of the story. Address the real concerns of consumers but don't allow the brand to be bullied in social media for unfounded accusations.⁵⁸

4) Plan for a crisis before it happens.

A pre-crisis management plan is necessary to enhance communication between the local team and headquarters. This involves the use of an intranet to share the pre-crisis management plan, clarify the company's position, keep employees informed during a crisis, assign/delegate specific responsibilities and tasks to local teams, convert them into ambassadors for the organization, and provide training.

Both Barton (2001)⁵⁹ and Coombs (2006)⁶⁰ report that organizations are better able to handle crises when they (1) have a crisis management plan that is updated at least annually, (2) have a designated crisis management team, (3) conduct exercises to test the plans and teams at least annually, and (4) pre-draft some crisis messages. Barton (2001) identifies the common members of the crisis team as public relations, legal, security, operations, finance, and human resources. Members should also include the social media manager. The composition of the

⁵⁶ Ibid.

⁵⁷ S. Goldstein, "Social Media Checklist for Your Crisis Communication Plan," PRNews Online.com (blog), 14 February 2017, <https://www.prnewsonline.com/water-cooler/how-to-integrate-social-media-into-your-crisis-plan>; "The Book of Crisis Management Strategies & Tactics", PRNewsOnline.com (blog), <https://www.prnewsonline.com/crisis-management-guidebook-vol-9/>, accessed 21 July 2019.

⁵⁸ K. Quesenberry, *Social Media Strategy—Marketing, Advertising and Public Relations in the Consumer Revolution*, p. 246.

⁵⁹ L. Barton, *Crisis in organizations II*.

⁶⁰ W. T. Coombs and S. J. Holladay, "Halo or reputational capital."

crisis team can vary depending on the nature of the crisis. Time can be saved if duties for doing the basic tasks are assigned to specific team member in a crisis.

5) Provide spokesperson training and pre-draft messages.

Organizational members should be trained so that they are prepared to speak to the news media during a crisis. The public relations personnel can provide training and support. Crisis managers can pre-draft messages to use during a crisis. Templates can include statements from top management, news releases, social media messages, and dark websites. Such templates leave blank spaces for key information to be added once available. The public relations team can help to draft these messages. The legal department can then pre-approve the use of certain messages.⁶¹ Preparation can help in making timely response during a crisis.

6) Design crisis communication channels.

An organization should create a separate website for the crisis or allocate a section of its existing website for the crisis. It should use the existing website; stakeholders might have difficulty finding a new website (Coombs, 2015).⁶² Taylor and Kent's (2007) research reveals that having a crisis website is a best practice for using the internet during a crisis.⁶³ A dark site can be created and designed before the crisis. The crisis team should anticipate the types of crises the organization might face and the types of information required for the website. A website and social media provide another way for an organization to present its side of the story; not using it creates a risk of losing control over how the crisis story is told.⁶⁴

Intranet sites can also be used during a crisis. Intranet sites may be available to specific stakeholders, including employees, registered suppliers, and customers. A mass notification system can be established so that the contact information (phones numbers, emails, etc.) of stakeholders is programmed in before a crisis. Crisis managers can input short messages through the system and then instruct the mass notification system about who should receive which messages and which channel or channels to use for the delivery. The system should also provide a mechanism for people to respond to messages as well.⁶⁵

4. Discuss possible ways for D&G to repair reputational damage and rebuild its long-term corporate image in China.

- Leverage the awareness created by the scandal and use a local Chinese public relations and communication agency to design new strategies and campaigns. Through such campaigns, D&G may show its sincerity to learn about the Chinese consumers and the Chinese market. Such campaigns should be authentic and appropriate from the Chinese cultural perspective. They should show that the company has gained a more discerning, sophisticated understanding of China after the crisis. The previous scandal may be forgotten over time and when a new campaign is unveiled. In addition to consumers, D&G has to take the correct steps to rekindle its relationship with retailers, media, the government, and celebrities in China. It should allow local staff who are familiar with cultural sensitivities and have good local relationships to participate in designing strategies and working with agencies to rebuild the company's reputation.

⁶¹ T. Coombs, "Crisis Management and Communications."

⁶² W. T. Coombs, *Ongoing Crisis Communication: Planning, Managing, and Responding*.

⁶³ M. Taylor and M. L. Kent, "Taxonomy of mediated crisis responses," *Public Relations Review* 33 (2007): 140–146.

⁶⁴ T. Coombs, "Crisis Management and Communications."

⁶⁵ Ibid.

- Test future advertising campaigns and products. Conduct sufficient market and cultural research before an official launch. Some employees of foreign brands like D&G may have natural emotional ties to the brands and fail to note the general public's potential misunderstandings of their communication messages and products. Third-party reviewers are necessary, if circumstances require, especially if the advertisements and products use humor or controversial messages or contain cultural elements. Having another pair of eyes outside the company to judge whether an idea is acceptable can minimize the risk of triggering negative sentiments.
- Offer opportunities to local staff to participate in the creation and review process of local advertising campaigns, marketing strategies, and products with cultural elements tailor-made for the domestic market. Encourage local staff to speak up instead of passively following global guidelines and decisions. Keep the right level of sensitivity for local taste and cultures.
- Strike a good balance between the global consistency of a brand and considerations of local market characteristics. Avoid strict conformity of their communication messages, products, prices, and designs and try to adapt to local markets. Avoid adopting a paternalistic and neo-colonialist approach for local marketing and bring an open mind to local practices.
- Change management practices to hire local management talents in order to increase diversity, for instance, those who have a very deep cultural education, training, or work experience and who can help to translate campaigns and business strategies correctly and people who understand the subtleties of local language and visual culture of the local market. If the company has a team of people coming from different backgrounds, they can help guide the brand through the intricacies of race, religion, culture, and other social complexities.
- The D&G founders and the original team who approved the controversial videos should rethink the Western perspective of orientalism or the stereotyped approach to Asian culture. Engage third-party professional trainers to conduct internal training.
- Consider a possible division of the brand, e.g., a new label or a joint venture brand for the China market. Since the original founders, especially Stefano Gabbana, were heavily attacked during the crisis, think of ways to rebuild his personal image in the Chinese and global markets.
- Make cautious use of cultural elements in future advertising campaigns and products. For many customers, if a brand fails to demonstrate an appropriate understanding of local culture in its approach to the domestic market, it is better not to approach it at all.

Class Plan for a 90-Minute Class

The series of D&G cases can be used in a 90-minute class to facilitate discussions on advertising, cultural sensitivity, and crisis management. Case A should take up the bulk of the time, about 50 minutes, subdivided into a 30-minute segment (cultural sensitivity, ad appeal) and a 20-minute segment (crisis). Case B and Case C can take 20 minutes each.

Case A: The introduction to the D&G case can be quite visual. After the initial briefing, the instructor can show D&G fashion clips, its past campaigns, etc., to provide the students with a visual orientation to the brand. This is useful in forming a discussion on the D&G brand image, fashion style, target segment, and ad appeal [list on board].

After a good discussion of the brand's background, the instructor can show the videos of the current campaign. This can lead into a discussion of their relevance to the current campaign as well as their appropriateness or deviation from the above list. Bring up questions 1 and 2.

Discuss cultural sensitivity and humor as well as how the videos could look to achieve their communication objectives.

For the remaining 20 minutes, discuss the crisis, the urgency to respond, and bring up question 3.

Case B: Lay out the deepening crisis and how the issue at D&G goes well beyond a series of videos. Bring up question 3 again and discuss the deepening crisis.

After a good discussion of the Case B crisis, refer back to the crisis in Hong Kong (described in Case A) to lay out a pattern of crises at D&G. What should the company do? The discussion can broaden to include topics beyond marketing and crisis management such as corporate culture and corporate training on cultural sensitivity. If the course has an international component, the instructor can guide the discussion to talk about the role of local staff in an international corporation. Did they have any input into the videos? Did anyone listen?

Case C: After taking a good look at the financial figures, the instructor can lead the students to discuss how to rebuild the brand. Bring up question 4.

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